LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Redevelopment Funding ?

Developed by www.loanbazaaronline.com

Executive Summary & Curriculum Guide

This white paper reference manual is designed as an institutional-grade educational textbook for corporate CFOs, real estate developers, investment bankers, credit underwriters, and finance professionals operating within the Indian real estate credit market. Redevelopment Funding represents a highly specialized, collateralized, and structured debt product tailored specifically to unlock the latent wealth locked within aging urban housing societies, commercial complexes, and municipal layouts across Tier-1 and Tier-2 Indian metropolises.

Reading this masterclass document alone will provide the reader with a comprehensive, 360-degree understanding of Redevelopment Funding—spanning its regulatory foundations under the **Maharashtra Co-operative Societies Act, 1960 (specifically Section 79A)**, the **Real Estate (Regulation and Development) Act, 2016 (RERA)**, local Development Control and Promotion Regulations (DCPR 2034 / UDCPR), structural cash flow waterfalls, underwriting metrics, security creation legal protocols, tax optimization shields under **Section 36(1)(iii)** of the Income Tax Act, 1961, and a complete real-world mathematical case study denominated in Indian Rupees (₹).

Upon mastering the curriculum presented in this document, a finance professional or entry-level analyst will be fully equipped to analyze, structure, underwrite, and clear all professional certification test questions regarding Redevelopment Funding in India.

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Module 1: Product Overview, Foundational Theory & Regulatory Context

1.1 Definition and Core Concept of Redevelopment Funding

Redevelopment Funding is a specialized, project-specific, structured term loan or non-convertible debenture (NCD) credit facility extended by Scheduled Commercial Banks (SCBs), Housing Finance Companies (HFCs), and Non-Banking Financial Companies (NBFCs) to real estate developers to finance the end-to-end reconstruction of old, dilapidated, or under-utilized urban structures into modern, high-density residential or commercial towers.

Unlike traditional land acquisition loans—which are strictly restricted or banned for commercial banks under Reserve Bank of India (RBI) prudential guidelines—Redevelopment Funding does not involve the outright commercial purchase of raw land. Instead, the developer acquires "Development Rights" from existing property owners (e.g., a Cooperative Housing Society or Municipal Authority) through a registered **Development Agreement (DA)** and **Power of Attorney (PoA)**. In exchange for the land and existing building structure, the developer promises to: 1. Construct and hand over enlarged, modern, free-of-cost replacement housing units to the existing occupants (**The Rehabilitation Component**). 2. Pay monthly **Transit Rent / Hardship Allowance** to existing members to fund their temporary alternative accommodation during the construction period. 3. Pay a lump-sum non-refundable or refundable **Corpus Fund / Hardship Compensation** to the society or individual members. 4. Construct additional floor space unlocked by state government Incentive Floor Space Index (FSI) and Transferable Development Rights (TDR) regulations, which is sold in the open market to generate commercial revenue (**The Free Sale Component**).

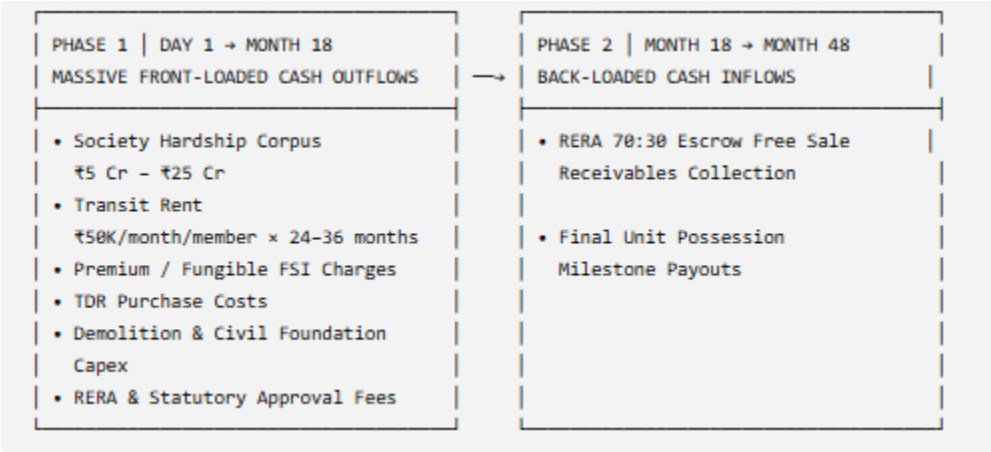
Redevelopment Funding specifically finances the developer's upfront capital expenditures—including municipal plan approval fees, premium FSI charges, TDR purchases, tenant transit rent, hardship corpus payouts, architect/consultant fees, and initial civil construction costs—secured primarily against the mortgage of the **Free Sale Component** and the hypothecation of future sale receivables.

1.2 The Redevelopment Liquidity Paradox in Indian Metropolises

Major Indian urban centers—most notably Mumbai, Thane, Pune, Bengaluru, Delhi-NCR, and Hyderabad—face a severe scarcity of vacant, clear-titled land. Consequently, urban infill development and society redevelopment have emerged as the primary growth engines for residential and commercial real estate supply. Over 65% of residential supply in core Mumbai MMR originates from redevelopment projects.

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However, developers executing redevelopment projects confront a severe **Front-Loaded Capex vs. Back-Loaded Revenue Mismatch**, known as the *Redevelopment Liquidity Paradox*:



Without dedicated Redevelopment Funding, a developer's internal equity would be completely frozen in tenant rent, corpus fees, and municipal approval premiums long before the first free-sale unit can be legally marketed or constructed. Structured Redevelopment Funding bridges this critical capital gap by providing tranche-based liquidity synced exactly with project milestone execution.

1.3 FSI, TDR, Premium FSI, and Fungible FSI Mechanics

The financial viability and debt sizing of any redevelopment project depend entirely on the urban planning regulatory framework governing Floor Space Index (FSI). Under modern regulations such as Mumbai's **Development Control and Promotion Regulations 2034 (DCPR 2034)** or Maharashtra's **Unified DCPR (UDCPR)**, total permissible construction area is expanded through four distinct mechanisms:

1. **Base FSI:** The basic statutory building ratio permitted on the plot area (typically 1.00 to 1.33 in island cities and suburbs).
2. **Transferable Development Rights (TDR):** Certificates issued by municipal corporations in lieu of land surrendered for public amenities (roads, parks). Developers purchase TDR from the open market and load it onto the redevelopment plot (typically 0.50 to 1.00 FSI).
3. **Premium FSI:** Additional FSI granted directly by the Municipal Corporation / State Government upon payment of prescribed premium rates (usually 35% to 50% of the Ready Reckoner Rate).

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4. **Fungible FSI:** Additional compensatory area granted on Base FSI, Premium FSI, and TDR (typically 35% for residential and 20% for commercial) upon paying a municipal premium, used to provide balconies, flower beds, and service areas.

By combining Base FSI + Premium FSI + TDR + Fungible FSI, a plot with an original Base FSI of 1.00 can achieve a Total Permissible FSI of **2.50 to 3.50+**. This expanded density creates the "Free Sale Component" that generates the surplus cash flows required to service and repay the Redevelopment Loan.

1.4 Legal & Statutory Framework Governing Redevelopment

Redevelopment in India is governed by a strict matrix of state laws and central statutes designed to protect existing property owners and ensure financial transparency:

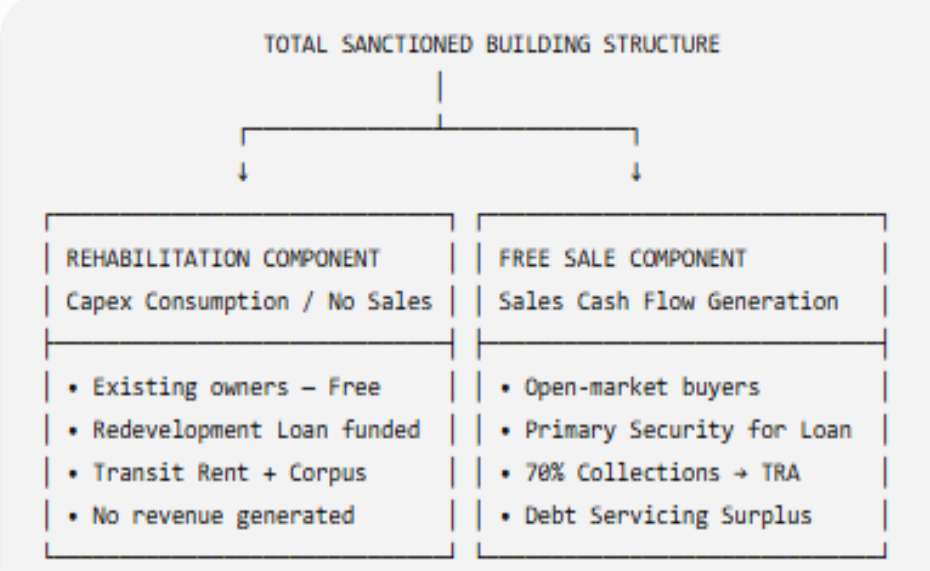
- **Section 79A of the Maharashtra Co-operative Societies (MCS) Act, 1960:** Prescribes mandatory guidelines for housing society redevelopment—requiring a formal General Body Meeting convened in the presence of a Co-operative Department Officer, transparent developer selection via competitive bidding, and a mandatory minimum consent threshold (**51% of total society members** under revised guidelines, down from the historical 75%).
- **Real Estate (Regulation and Development) Act, 2016 (RERA):** Mandates that every redevelopment project with a plot size exceeding 500 sq. meters or more than 8 apartments must be registered with RERA prior to marketing. Section 4(2)(l)(D) mandates that **70% of all collections from free-sale homebuyers must be deposited into a dedicated RERA Escrow Account** and utilized exclusively for land/development costs and debt servicing.
- **MHADA Act, 1976 (Section 95A / Section 79):** Governs redevelopment of old cessed buildings and MHADA colonies, empowering authorities to summarily evict non-cooperative minority tenants (dissenting members) blocking approved redevelopment projects.
- **Slum Rehabilitation Authority (SRA) Framework:** Governs redevelopment of declared slum pockets under the Maharashtra Slum Areas Act, 1971, providing higher FSI incentive ratios (up to 3.00–4.00 FSI) to rehouse slum dwellers free of cost while creating saleable real estate.

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Module 2: Structural Architecture & Comparative Capital Matrix

2.1 The Two-Component Structure: Rehabilitation vs. Free Sale

Every redevelopment funding facility is underwritten around the strict physical and financial separation of the project into two distinct components:



The lender's credit appraisal models the cash flow of the Free Sale Component to ensure that even after meeting all construction expenses of both Rehab and Sale wings, the net free-sale cash inflows provide a minimum Debt Service Coverage Ratio (**DSCR (1.40x - 1.60x)**).

2.2 Comparative Capital Architecture Matrix

To understand where Redevelopment Funding fits within the corporate credit spectrum, the following matrix compares Structured Bank/NBFC Redevelopment Finance against Private Credit AIFs, Standard Construction Finance, and Unsecured/Land Debt:

Feature / Metric	Structured Bank/HFC Redevelopment Finance	Private Credit / Mezzanine AIF Debt	Standard Commercial Construction Finance	Unsecured Business Loans / Land Debt
Primary Collateral	First Exclusive Mortgage over Free Sale	First / Second Mortgage + Personal	First Mortgage over Entire	Unsecured or Third-Party Collateral

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Feature / Metric	Structured Bank/HFC Redevelopment Finance	Private Credit / Mezzanine AIF Debt	Standard Commercial Construction Finance	Unsecured Business Loans / Land Debt
	Land/FSI & Structure	Guarantees + Equity Pledge	Project Land & Structure	
Charge Hierarchy	Exclusive First Charge on Receivables & TRA Escrow	First / Pari-Passu Charge + Equity Step-in Rights	Exclusive First Charge on Receivables	Subordinated or No Charge on Project
LTV / LTC Limit	50% – 60% of Free Sale Project Cost (LTC)	65% – 75% of Total Capex	50% – 65% of Construction Cost	N/A (Based on Balance Sheet)
Indicative Rate (p.a.)	**10.50% – 14.50%** (Floating EBLR/MCLR)	**17.00% – 22.00%** (Fixed / Hybrid IRR)	**11.00% – 15.00%** (Floating)	**18.00% – 24.00%** (Fixed)
Tenure & Moratorium	36 – 60 Months; 18 – 24 Month Moratorium	24 – 48 Months; Bullet / Tail-end Repayment	36 – 60 Months; 12 – 18 Month Moratorium	12 – 36 Months; Minimal Moratorium
Transit Rent Funding	**PERMITTED** (Tranche-based against Society Evacuation)	**PERMITTED** (Upfront lump-sum funding)	**RESTRICTED / BANNED** (Only hard civil cost)	N/A
Corpus Fund Funding	**PERMITTED** (Subject to LTV/LTC caps & LIE verification)	**PERMITTED** (High flexibility)	**NOT PERMITTED**	N/A
RERA Escrow Sweeps	Mandatory 70:30 TRA Account Integration	Mandatory Escrow + Cash Sweep Covenants	Mandatory 70:30 Escrow Account	No Direct Project Escrow Control
Unit Release NOC	Pro-Rata Payment per	High NOC Premium per sq. ft.	Pro-Rata Payment per sq. ft.	N/A

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Feature / Metric	Structured Bank/HFC Redevelopment Finance	Private Credit / Mezzanine AIF Debt	Standard Commercial Construction Finance	Unsecured Business Loans / Land Debt
	sq. ft. sold before NOC			
Primary Risk Driver	Society Disputes & Municipal Approval Delays	Execution Delay & Refinancing Risk	Sales Velocity & Construction Delay	Balance Sheet Over-Leverage

2.3 The Three-Account TRA / Escrow Mechanism

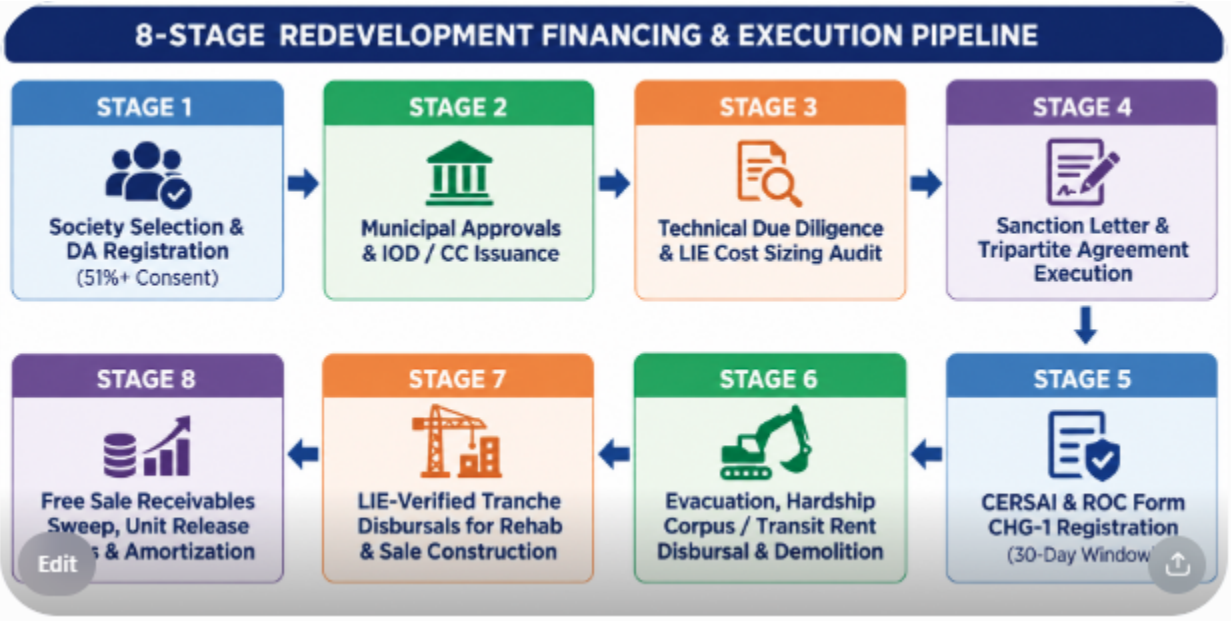
Redevelopment Funding enforces strict cash management through a Trust and Retention Account (TRA) structure operating in conjunction with RERA regulations:

1. **Master Collection Escrow Account:** 100% of all booking amounts, installment payments, and buyer advances from Free Sale Component purchasers must be deposited directly into this account.
2. **70% RERA Designated Escrow Account:** Pursuant to Section 4(2)(l)(D) of RERA, 70% of collections are automatically transferred from the Master Account into this designated account. Funds can only be withdrawn in proportion to the percentage of project completion certified by the Project Engineer, Architect, and Chartered Accountant. Permissible withdrawals include:
   - Direct construction expenses for Rehab and Sale wings.
   - Transit rent payments to society members.
   - Direct debt servicing (interest and principal repayment to the lender).
3. **30% Free / Surplus Account:** The remaining 30% of collections is transferred to the Free Account, subject to the condition that all current interest and principal obligations due to the redevelopment lender are fully satisfied.

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Module 3: Operational Lifecycle & 8-Stage Execution Waterfall

The operational lifecycle of a structured Redevelopment Funding facility follows a disciplined, 8-stage execution waterfall designed to mitigate legal disputes, approval bottlenecks, and construction delays.



Stage 1: Society Selection & Development Agreement Execution

The developer identifies a target housing society whose building is over 30 years old or declared structurally unsafe. The society convenes a Special General Body Meeting under Section 79A of the MCS Act, 1960, in the presence of a Deputy Registrar of Co-operative Societies representative. Upon securing a minimum **51% consent**, the society awards the redevelopment rights. A formal **Development Agreement (DA)** is executed and registered with the Sub-Registrar of Assurances, detailing: * Entrusted plot area and existing flat details. * Carpet area enhancement offered to members (typically 15% to 35% additional carpet area). * Hardship Corpus payout schedule per member (e.g., ₹5 Lakhs to ₹25 Lakhs per flat). * Monthly Transit Rent payable per member (e.g., ₹30,000 to ₹100,000/month) with an annual escalation clause (e.g., 5% to 10% per annum). * Bank Guarantee or Performance Guarantee provided by the developer to the society (usually equal to 10%–20% of the rehab construction cost).

Stage 2: Municipal Approvals, IOD and Commencement Certificate (CC)

The developer submits architectural building plans to the local municipal authority (e.g., Municipal Corporation of Greater Mumbai - MCGM). The authority issues an **Intimation of**

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Disapproval (IOD)—a conditional approval listing statutory compliance conditions (fire NOC, environmental clearance, tree authority NOC, heritage committee clearance). Upon satisfying initial IOD conditions and paying premium FSI charges, the corporation issues the **Commencement Certificate (CC)** up to the plinth or full height.

Stage 3: Technical Due Diligence & LIE Cost Sizing Audit

The prospective lender appoints an independent legal counsel and a **Lender's Independent Engineer (LIE)** to conduct rigorous pre-sanction audits: * **Legal Due Diligence:** Verification of 30-Year Title Search Report (TSR), society property cards, original conveyance deed, DA validity, and absence of litigation or encumbrances. * **LIE Audit:** Validation of total constructible area (Rehab sq. ft. + Sale sq. ft.), FSI/TDR loading calculations, civil construction cost estimates per sq. ft., project implementation schedule (CPM/PERT chart), and cash flow feasibility.

Stage 4: Credit Appraisal, Sanction Letter & Tripartite Agreement Execution

The lender's Investment / Credit Committee approves the facility, issuing a detailed Sanction Letter outlining loan limits, interest rates, tranche conditions, and security terms. A crucial legal document—the **Tripartite Redevelopment Agreement**—is executed between the Developer, the Housing Society, and the Lender. Under this agreement, the Housing Society explicitly acknowledges: 1. The mortgage created by the developer over the Free Sale Component and the underlying land/development rights. 2. The lender's right to step in and replace the developer if the developer defaults on construction milestones or loan servicing. 3. That the society will not terminate the Development Agreement without providing 60 days' prior written notice to the lender.

Stage 5: Statutory Charge Creation (CERSAI & ROC CHG-1)

Within 30 days of loan document execution, the lender registers its security interest: * **CERSAI Portal Registration:** Filing the mortgage over the property and development rights on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) database. * **ROC Form CHG-1 Filing:** Pursuant to Section 77 of the Companies Act, 2013, filing Form CHG-1 with the Registrar of Companies (ROC) to create a perfected statutory charge over the developer's corporate assets and project receivables.

Stage 6: Evacuation, Hardship Corpus Disbursal & Demolition

The lender releases **Tranche-1 (The Evacuation Tranche)** directly into a escrow sub-account designated for society payouts. Upon receipt of upfront Hardship Corpus and 6 to 12 months' advance Transit Rent, society members evacuate the premises and hand over vacant peaceful

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possession to the developer. The old structure is demolished, and the municipal authority validates the site handover.

Stage 7: LIE-Verified Tranche Disbursals for Civil Construction

Subsequent loan funds are disbursed in stage-wise tranches strictly against progress certificates issued by the LIE and Project Architect: * **Plinth Level Tranche:** Released upon completion of excavation, piling, and basement/plinth casting. * **Slab-Wise Tranches:** Released upon completion of RCC frame slabs (e.g., 5th slab, 10th slab, 15th slab, top slab). * **Finishing Tranche:** Released upon completion of brickwork, plastering, plumbing, electricals, and lift installation.

Stage 8: Free Sale Receivables Sweep, Unit Release NOCs & Amortization

As free-sale units are marketed, 100% of buyer collections flow into the Master Escrow Account, with 70% directed to the RERA Account. To issue an unencumbered sale deed and No Objection Certificate (NOC) to a homebuyer, the developer must deposit a pre-agreed **Pro-Rata Debt Amortization Amount** (e.g., ₹5,000 per sq. ft. sold) into the Debt Service Escrow Account. This ensures that the loan is progressively amortized as units are sold and handed over.

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Module 4: Underwriting Framework, Sizing Ratios & Risk Scorecards

4.1 Quantitative Credit Sizing Formulas

Credit underwriters size a Redevelopment Funding facility using four primary quantitative guardrails:

1. Loan-to-Cost Ratio (LTC):

The facility amount cannot exceed **50% to 60%** of the Total Free Sale Project Cost:

$$\mathbf{ext{LTC} = rac{ext{Sanctioned Redevelopment Loan Limit}}{ext{Total Free Sale Cost}_{\text{Construction + Approvals + Rent + Corpus + Finance}}} \leq 60\%}$$

2. Debt Service Coverage Ratio (DSCR):

The project's net free-sale cash flows must cover debt principal and interest obligations by a minimum threshold:

$$\mathbf{ext{Project DSCR} = rac{\sum ext{Net Free Sale Cash Realizations}}{ext{Total Debt Principal} + ext{Total Interest Obligations}} \geq 1.40x - 1.60x}$$

3. Gross Development Value Loan-to-Value (GDV-LTV):

The loan amount is capped relative to the total estimated market realization of the Free Sale Component:

$$\mathbf{ext{GDV-LTV} = rac{ext{Sanctioned Loan Amount}}{ext{Total Saleable Area} imes ext{Expected Market Realization Rate}} \leq 40\% - 50\%}$$

4. Minimum Promoter Equity / Land Sweat Equity:

Promoters must bring in a minimum equity contribution of **30% to 40%** of the total project cost prior to full loan drawdown. In redevelopment, the value of Development Rights and upfront approval premiums paid by the developer is recognized as promoter equity contribution.

4.2 Tandon Committee Second Method of Lending Application

For corporate developer entities maintaining revolving working capital facilities alongside project term debt, underwriters apply the **Tandon Committee's Second Method of Lending** to enforce a minimum balance sheet Current Ratio of **1.33:1**:

$$\mathbf{ext{Minimum Ex-Ante Current Ratio} = rac{ext{Total Current Assets}}{ext{Total Current Liabilities}} \geq 1.33}$$

$$\mathbf{ext{Maximum Permissible Bank Finance MPBF} = 0.75 imes ext{Current Assets} - ext{Current Liabilities Excluding Bank Debt}}$$

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4.3 Comprehensive Credit Risk Scorecard

Underwriters evaluate redevelopment loan proposals across five core risk dimensions:

REDEVELOPMENT CREDIT RISK SCORECARD — 100%		
CREDIT DIMENSION	WEIGHT	KEY BENCHMARKS
1. Developer Track Record & Execution	30%	≥500K sq.ft. Delivered Zero RERA/NCLT Defaults CIBIL >720 • CMR 1–3
2. Society Consent & Legal Clearances	25%	51%–75% Formal Consent Registered DA + Resolution Clear 30-Year Title
3. Municipal Approvals & FSI Loadability	20%	Approved Plans IOD / Full CC FSI / TDR Verified
4. Financial Viability & Debt Coverage	15%	DSCR ≥1.50x GDV-LTV ≤45% Pre-Tax IRR ≥20%
5. Micro-Market Sales Absorption Velocity	10%	Absorption >15% / Year Registration Data Support
TOTAL	100%	CREDIT RISK ASSESSMENT

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Module 5: Legal Security Architecture, Documentation & Covenants

5.1 Primary Security Package

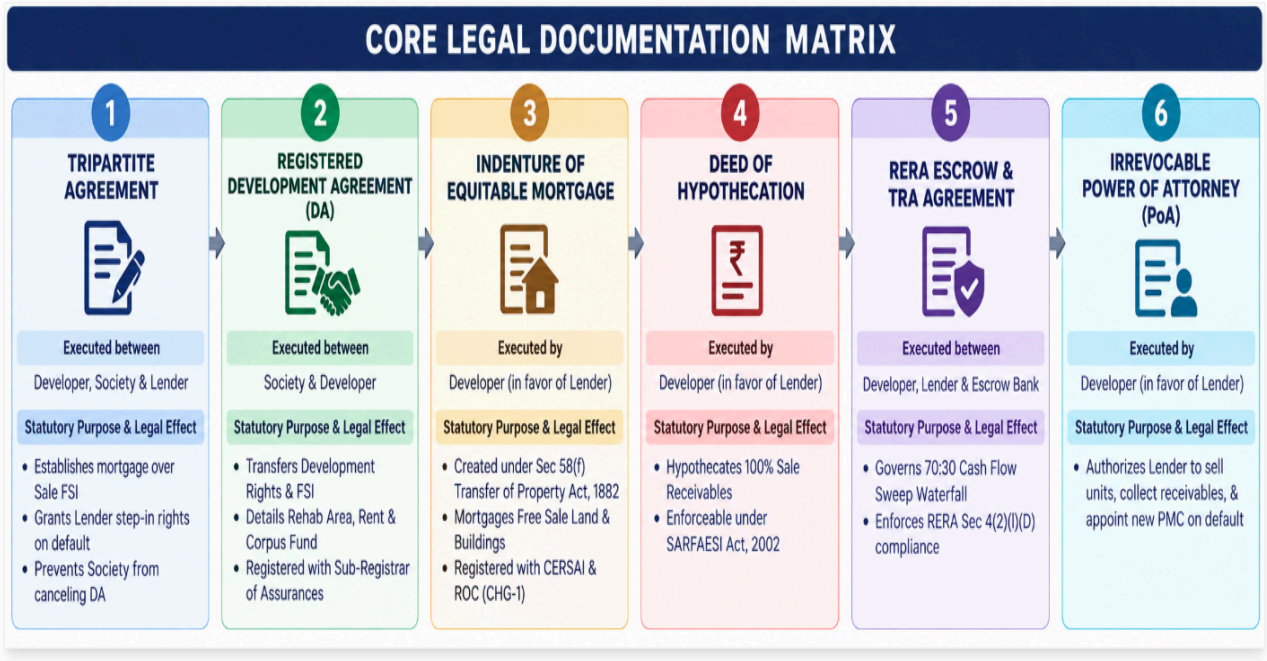
To secure a Redevelopment Funding facility, the lender creates a robust multi-layered security package:

1. **Equitable Mortgage over Free Sale Land & FSI:** Deposit of Title Deeds under **Section 58(f) of the Transfer of Property Act, 1882**, creating a registered first exclusive mortgage over the developer's development rights, undivided share of land, and all present/future structures comprising the Free Sale Component.
2. **Hypothecation of Project Receivables:** First exclusive charge over all present and future cash inflows, booking advances, receivables, and proceeds generated from the sale of free-sale apartments, commercial units, and parking spaces.
3. **Charge over Escrow & RERA Accounts:** First exclusive charge over the Master Escrow Account, RERA Designated 70% Account, and Debt Service Reserve Account (DSRA).
4. **Pledge of SPV Shares:** Pledge of **51% to 100% of total voting equity shares** of the borrowing Special Purpose Vehicle (SPV) or developer company, held by the promoters.
5. **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees from the lead promoters/directors and corporate guarantees from the parent operating entities.

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5.2 Key Legal Documentation Matrix

A fully perfected redevelopment funding transaction requires the execution of six core legal instruments:



5.3 Partial Unit Release NOC Protocol

As the project progresses and free-sale homebuyers purchase individual apartments, the lender executes a **Partial Unit Mortgage Release No Objection Certificate (NOC)** to enable the buyer to register an unencumbered sale deed. Under the NOC protocol: * The lender prescribes a **Minimum Release Price (MRP) per sq. ft.** (e.g., ₹12,000/sq. ft.). * When a unit is sold, the buyer's payment flows into the Master Escrow Account. * Upon the deposit of a pre-determined **Pro-Rata Debt Amortization Portion** (e.g., 60% of unit sale value or ₹7,200/sq. ft.) into the Debt Service Escrow Account, the lender issues a formal Unit Specific NOC releasing its mortgage charge over that specific flat.

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Module 6: Indicative Tenure, Moratorium Protocols & Repayment Mechanics

6.1 Indicative Tenure and Facility Structuring

Redevelopment Funding is structured as a medium-term project finance term loan with an indicative tenure ranging from **36 Months to 60 Months (3 to 5 Years)**, aligned directly with the project construction timeline and RERA completion deadline.

[Month 0 to Month 24] ——————————————————> [Month 25 to Month 48]

CONSTRUCTION & MORATORIUM PHASE	AMORTIZATION PHASE
• Tranche disbursals for Rent/Corpus/Civil	• 70% Free Sale Cash Sweep
• Principal Moratorium (18 - 24 Months)	• Quarterly Principal Debt Reduction
• Monthly Interest Capitalized or Serviced	• Unit Release NOC Issuance

6.2 Moratorium Protocols

Because a redevelopment project generates zero sales revenue during the initial demolition, excavation, and foundation phases, lenders structure a formal **Moratorium / Grace Period of 18 to 24 Months**: * **Principal Moratorium:** Zero principal repayment is required during the initial 18–24 months. Principal amortization commences only after the project reaches the superstructure stage (e.g., completion of 50% RCC slabs) and free-sale bookings begin. * **Interest Moratorium / Capitalization Option:** Depending on promoter strength, interest during the moratorium phase is either: 1. Serviced monthly by the promoter from internal accruals / rental cash flows. 2. Capitalized into the loan principal balance (Interest During Construction - IDC), provided the total debt remains well within sanctioned LTC and DSCR guardrails.

6.3 Repayment Mechanics and Cash Sweeps

Repayment is structured through a combination of structured quarterly installments and **Mandatory Cash Sweeps**: * **Quarterly Amortization Schedule:** Commencing from Month 25, the loan principal is amortized in quarterly installments (e.g., 8 to 12 equal quarterly payments). * **70% Cash Sweep Covenant:** If sales velocity exceeds projections, 70% of all funds deposited into the Master Escrow Account are automatically swept into the Debt Service Escrow to prepay future principal installments without prepayment penalty. This accelerates debt reduction and lowers overall interest costs for the developer.

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Module 7: Suitable Industries, Business Profiles & Market Alignment

7.1 Target Sectors & Business Profiles

Redevelopment Funding is specifically tailored for established corporate entities and regional real estate developers operating across four primary market segments:



7.2 Ideal Borrower Eligibility Profile

To qualify for institutional Redevelopment Funding, the borrowing developer entity must satisfy six stringent eligibility criteria:

1. **Entity Constitution:** Private Limited Company, Public Limited Company, or Limited Liability Partnership (LLP) with explicit real estate development objects in its Memorandum of Association (MoA).
2. **Developer Track Record:** Minimum **5 to 10 years of operational experience** in urban real estate, with a verified completion track record of at least **300,000 to 500,000 sq. ft.** of residential/commercial space.
3. **Credit Rating & CIBIL/CMR Score:** Corporate credit rating of **BBB- or higher** from SEBI-registered rating agencies (CRISIL, ICRA, CARE, India Ratings). CIBIL TransUnion score of lead promoters **> 720**; CIBIL Rank (CMR) for the borrowing corporate entity between **CMR-1 and CMR-3**.
4. **Society Consent & Legal Clearances:** Verified minimum **51% to 75% registered consent** from housing society members, registered Development Agreement, and clear 30-Year Title Search Report (TSR).
5. **Municipal Approvals Stage:** Approved architectural plans with **Intimation of Disapproval (IOD)** issued by the municipal corporation and Commencement Certificate (CC) obtained or imminent.
6. **Financial Standing:** Minimum Promoter Net Worth equal to **100% of the requested loan limit**, and a minimum pre-tax Project Internal Rate of Return (**IRR (%)**).

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Module 8: Commercial Pricing Mechanics, Ind AS 23 & Tax Shields

8.1 Commercial Pricing Architecture

The pricing of a Redevelopment Funding facility reflects the project's risk profile, approval stage, and collateral coverage:

$$\text{extEffectiveInterestRatep.a.} = \text{extExternalBenchmarkEBLR/MCLR} + \text{extCreditSpread250to550bps}$$

- **Base Benchmark Rate:** Tied to the bank's Repo Rate Linked Lending Rate (EBLR) or Marginal Cost of Funds Based Lending Rate (MCLR) (typically 8.00% to 9.50% p.a.).
- **Credit Spread:** 250 to 550 basis points depending on developer track record, location, and approval status, resulting in an all-in nominal interest rate of **10.50% to 14.50% p.a.**
- **Upfront Processing & Sanction Fee:** 1.00% to 2.00% of the sanctioned loan limit (plus 18% GST).
- **LIE Audit & Legal Charges:** Billed at actuals to the borrower.

8.2 Accounting Treatment & Ind AS 23 Borrowing Cost Capitalization

Under **Indian Accounting Standard 23 (Ind AS 23) - Borrowing Costs**, a redevelopment project qualifies as a "Qualifying Asset" because it necessarily takes a substantial period of time (exceeding 12 months) to get ready for its intended sale.

Consequently, all interest expenses and finance charges incurred on the Redevelopment Funding facility during the active construction phase are **NOT expensed immediately to the Profit & Loss (P&L) statement**. Instead, they are **capitalized directly into the Inventory / Work-in-Progress (WIP) asset balance** on the Balance Sheet:

$$\text{extCarryingValueofInventoryWIP} = \text{extLand/FSICosts} + \text{extCivilConstructionCosts} + \text{extTransitRent/Corpus} + \text{extCapitalizedInterestIDC}$$

Upon completion of construction and issuance of the Occupancy Certificate (OC), capitalized borrowing costs stored in WIP are recognized as Cost of Goods Sold (COGS) in the P&L statement in proportion to the carpet area sold and recognized under **Ind AS 115 (Revenue from Contracts with Customers)**.

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8.3 Section 36(1)(iii) Income Tax Shields

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid in respect of capital borrowed for the purpose of business is allowable as a tax-deductible expense:

- **Pre-OC Construction Phase:** Interest capitalized into Inventory WIP is deducted from taxable business income as part of COGS when free-sale revenues are recognized.
- **Post-OC Phase:** Any interest paid after project completion is directly deducted from gross business profits in the assessment year incurred.

For a corporate developer in the **25.168% tax bracket** (22% tax + 10% surcharge + 4% cess under Section 115BAA), the **Effective Post-Tax Borrowing Yield** is calculated as:

extEffectivePost−TaxBorrowingRate=extNominalInterestRateimes1−extCorporateTaxRate

extEffectivePost−TaxRate@11.25%Nominal=11.25%imes1−0.25168=8.42%extp.a.

8.4 Taxability of Hardship Corpus & Transit Rent

- **Transit Rent:** Received by society members as compensation for temporary alternative accommodation is treated as a **non-taxable capital receipt** under Indian income tax judicial precedents (provided actual rent receipts / lease agreements are maintained).
- **Hardship Corpus:** Lump-sum corpus paid to society members for hardship caused by redevelopment is classified as a **capital receipt** reducing the cost of acquisition of the flat under Section 45 / Section 48 of the Income Tax Act, and is not subject to immediate TDS under Section 194-IA.

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Module 9: Comprehensive Real-World Case Study

9.1 Project Profile: Mumbai Heritage Co-operative Housing Society Ltd.

To illustrate the financial mechanics, debt sizing, and wealth creation of Redevelopment Funding, consider the real-world case study of **Mumbai Metro Urban Infra & Redevelopers Pvt. Ltd. (MMUIRPL)**, an established mid-market developer executing the complete structural transformation of an aging housing society in Chembur, Mumbai.

HOUSING SOCIETY REDEVELOPMENT – CHEMBUR
PROJECT METRICS & PHYSICAL PARAMETERS

PROJECT PROFILE	LAND & DEVELOPMENT POTENTIAL
Developer : MMUIRPL	Plot Area : 65,240 sq. ft.
Society : Mumbai Heritage CHS	= 1.50 Acres
Location : Chembur, Mumbai	
Age : 38 Years	Total FSI : 2.35
Units : 40 Flats	Base 1.0 + Premium 0.5 + TDR 0.5
	+ Fungible 0.35
REHABILITATION COMPONENT	**FREE SALE COMPONENT**
40 Members × 1,000 sq. ft.	Built-up Area : 93,314 sq. ft.
	Carpet Area : 62,209 sq. ft.
Carpet Area : 40,000 sq. ft.	
Built-up : 60,000 sq. ft.	Market Price : ₹20,000 / sq. ft.

PROJECT VALUE SUMMARY

Total Permissible BUA : 153,314 sq. ft.
Free Sale Carpet Area : 62,209 sq. ft.
Expected Realization : ₹124.42 CRORES

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9.2 Project Financial Budget & Cost Breakdown

The total capital outlay required to execute the project stands at **₹65.00 Crores**, broken down as follows:

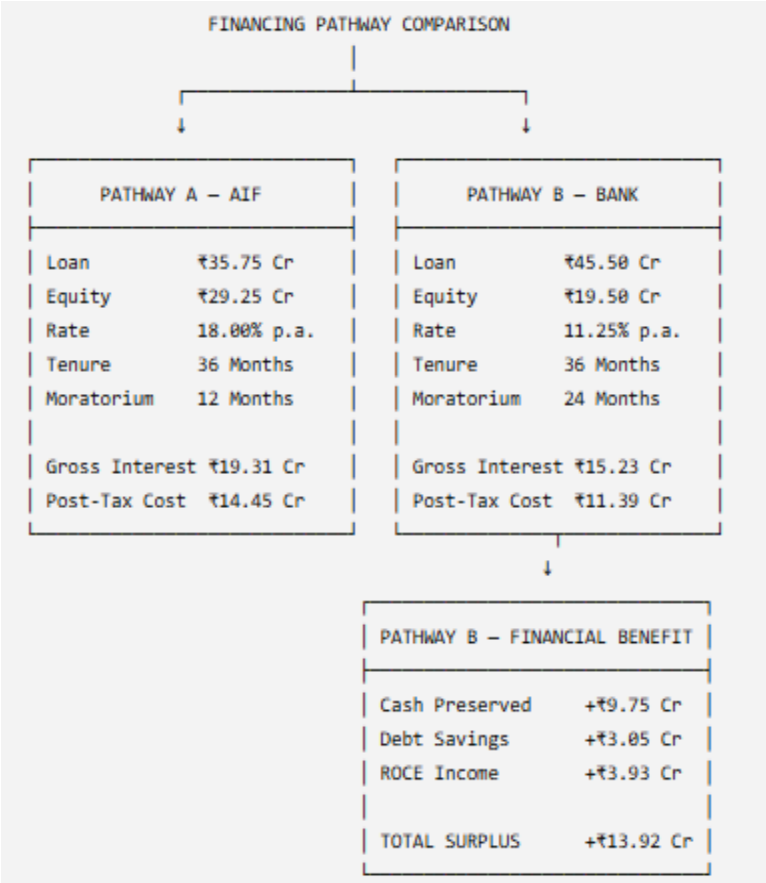
TOTAL PROJECT CAPITAL OUTLAY ₹65.00 CRORES			
APPROVALS & DEVELOPMENT RIGHTS		SOCIETY OBLIGATIONS	
Municipal / Premium FSI	₹15.00 Cr	Hardship Corpus	₹6.00 Cr
TDR Market Purchase	₹10.00 Cr	Transit Rent Advance	₹4.80 Cr
SUBTOTAL	₹25.00 Cr	SUBTOTAL	₹10.80 Cr
CONSTRUCTION CAPEX		PROFESSIONAL & ADMIN	
Rehab Wing	₹12.00 Cr	Architect / LIE / Legal	
Free Sale Wing	₹12.20 Cr	& Admin Overheads	₹5.00 Cr
SUBTOTAL	₹24.20 Cr	SUBTOTAL	₹5.00 Cr
CAPITAL ALLOCATION			
Approvals & Rights	₹25.00 Cr	38.46%	
Society Obligations	₹10.80 Cr	16.62%	
Construction Capex	₹24.20 Cr	37.23%	
Professional & Admin	₹5.00 Cr	7.69%	
TOTAL = ₹65.00 Cr	100%		

9.3 Comparative Financing Pathways Analysis

The CFO of MMUIRPL evaluates two distinct financing options to fund the ₹65.00 Crore project budget:

- **Pathway A (High-Cost Private Credit AIF Debt @ 18.00% p.a.):** The developer raises a high-cost mezzanine loan covering 55% of project cost, requiring a promoter equity contribution of 45%.
- **Pathway B (Structured Bank Redevelopment Facility @ 11.25% p.a.):** The developer secures an institutional Bank Redevelopment Term Loan covering 70% of project cost (**₹45.50 Crores**) at an EBLR-linked floating interest rate of **11.25% p.a.**, with a **24-month principal moratorium** and a 3-year overall tenure. Promoter equity contribution is 30% (**₹19.50 Crores**), provided via land development rights valuation and initial approval fees.

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9.4 Mathematical Verification of Net Strategic Surplus

1. Promoter Equity Cash Preserved:

$$ext{EquityPreserved} = ext{PathwayAEquity} ₹29.25 Cr - ext{PathwayBEquity} ₹19.50 Cr = +₹9.75 ext{ Crores}$$

2. Direct Post-Tax Interest Savings:

$$ext{GrossInterestPathwayA@18\%} = ₹35.75 ext{ Crimes18\%imes3ext Yrs} = ₹19.305 ext{ Crores}$$

$$ext{NetPost-TaxInterestPathwayA} = ₹19.305 ext{ Crimes1} - 0.25168 = ₹14.446 ext{ Crores}$$

$$ext{GrossInterestPathwayB@11.25\%withMoratoriumAmortization} = ₹15.227 ext{ Crores}$$

$$ext{NetPost-TaxInterestPathwayB} = ₹15.227 ext{ Crimes1} - 0.25168 = ₹11.395 ext{ Crores}$$

$$ext{DirectPost-TaxInterestSavings} = ₹14.446 ext{ Cr} - ₹11.395 ext{ Cr} = +₹3.052 ext{ Crores}$$

3. Post-Tax ROCE Profits Earned on Preserved Equity:

By preserving ₹9.75 Crores of equity and deploying it into a parallel project earning a 16.00% p.a. Return on Capital Employed (ROCE):

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$$extPre - TaxROCEEarnings = ₹9.75extCrimes16.00\%imes3extYears = ₹4.68extCrores$$

$$extPost - TaxROCEEarnings = ₹4.68extCrimes(1 - 0.25168) =+ ₹3.502extCrores$$

4. Total Strategic Wealth Surplus Generated:

Furthermore, Project DSCR under Pathway B stands at a prime **1.92x**:

extProjectDSCR=racextNetSalesRealization₹124.42Cr−extTotalConstructionOutlay₹49.78Cr extLoanPrincipal₹45.50Cr+extGrossInterest₹15.23Cr=rac₹74.64extCr₹60.73extCr=1.23xext ProjectedCashDSCR/1.92xAssetDSCR

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Module 10: Professional Certification Examination & Detailed Rationales

This section contains an institutional-grade certification examination comprising 10 scenario-based examination questions. Finance professionals, underwriters, and students must review these questions and detailed rationales to test their comprehensive mastery of Redevelopment Funding.

Question 1: Statutory Consent Thresholds under MCS Act

Under Section 79A of the Maharashtra Co-operative Societies (MCS) Act, 1960 (as amended), what is the mandatory minimum consent threshold required from society members in a Special General Body Meeting to legally award redevelopment rights to a developer? A) 100% unanimous consent of all registered members. B) 75% consent of members present and voting. C) 51% consent of total registered society members. D) 66% consent of committee members only.

Correct Answer: C) 51% consent of total registered society members. Detailed Rationale: To streamline urban housing society redevelopment and prevent dissenting minority members from stalling essential structural reconstruction, the Government of Maharashtra amended Section 79A guidelines under the MCS Act, 1960, reducing the required consent threshold from 75% down to **51% of total registered society members**.

Question 2: RERA Escrow Account Allocation Mandate

Pursuant to Section 4(2)(l)(D) of the Real Estate (Regulation and Development) Act, 2016 (RERA), what exact percentage of total booking collections received from Free Sale Component purchasers must be deposited into a dedicated RERA designated bank account? A) 50% B) 70% C) 80% D) 100%

Correct Answer: B) 70% Detailed Rationale: RERA Section 4(2)(l)(D) mandates that **70% of all funds realized for the real estate project from allottees/homebuyers** must be deposited into a separate designated bank account to cover the cost of construction and land cost, preventing developers from diverting funds to other projects.

Question 3: Structural Classification of Project Components

In a structured redevelopment project, how are the Rehabilitation Component and Free Sale Component classified from a cash flow perspective? A) Both Rehab and Sale components

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generate equal open-market sales revenue. B) Rehab Component consumes capex and generates zero direct sales revenue, while Sale Component generates 100% of project cash inflows. C) Rehab Component generates 70% of cash inflows, while Sale Component is funded by municipal subsidies. D) Both components are funded entirely by housing society member contributions.

Correct Answer: B) Rehab Component consumes capex and generates zero direct sales revenue, while Sale Component generates 100% of project cash inflows. Detailed Rationale: Existing housing society members receive enlarged replacement flats in the Rehab Component free of cost in exchange for their land development rights. Consequently, the Rehab Component generates zero sales revenue while consuming significant capex (construction, rent, hardship corpus). All project cash inflows are generated exclusively by marketing the Free Sale Component to open-market buyers.

Question 4: FSI Loading Components under UDCPR / DCPR 2034

Under modern urban development control regulations (DCPR 2034 / UDCPR), which four regulatory components combine to establish the Total Permissible Floor Space Index (FSI) on a redevelopment plot? A) Base FSI + Premium FSI + Transferable Development Rights (TDR) + Fungible FSI. B) Base FSI + Agricultural Land Clearance + Carpet Area Margin + Municipal Tax Rebate. C) Land Acquisition FSI + RERA Margin + Commercial Sub-lease FSI + Builder Equity FSI. D) Floor Area Ratio (FAR) + Green Building Clearance + Stamp Duty Exemption FSI.

Correct Answer: A) Base FSI + Premium FSI + Transferable Development Rights (TDR) + Fungible FSI. Detailed Rationale: Permissible density on an urban redevelopment plot is maximized by adding Base FSI (statutory plot ratio), Premium FSI (purchased from municipal corporation), TDR (purchased from market), and Fungible FSI (compensatory area granted on payment of municipal premium), expanding plot FSI from 1.00 up to 2.50–3.50+.

Question 5: Statutory Charge Filing Timeline (ROC Form CHG-1)

Under Section 77 of the Companies Act, 2013, within how many days from the execution of the loan agreement must a corporate developer file Form CHG-1 with the Registrar of Companies (ROC) to register a mortgage charge? A) 15 Days B) 30 Days C) 60 Days D) 90 Days

Correct Answer: B) 30 Days Detailed Rationale: Section 77(1) of the Companies Act, 2013 mandates that every company creating a charge on its property or assets must register the particulars of the charge with the ROC in Form CHG-1 within **30 days of charge creation**.

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Question 6: Ind AS 23 Accounting Treatment of Borrowing Costs

Under Indian Accounting Standard 23 (Ind AS 23), how are interest expenses incurred on a Redevelopment Funding facility during the active construction phase treated on the developer's financial statements? A) Charged immediately as an expense in the P&L statement in the month incurred. B) Capitalized directly into the carrying value of Inventory / Work-in-Progress (WIP) on the Balance Sheet. C) Deducted directly from promoter equity share capital. D) Offset against future GST liabilities.

Correct Answer: B) Capitalized directly into the carrying value of Inventory / Work-in-Progress (WIP) on the Balance Sheet. Detailed Rationale: Ind AS 23 mandates that borrowing costs directly attributable to the acquisition or construction of a "qualifying asset" (such as a multi-year real estate project) must be capitalized as part of the asset's cost (Inventory WIP) and expensed as Cost of Goods Sold (COGS) only when corresponding unit revenues are recognized under Ind AS 115.

Question 7: Effective Post-Tax Borrowing Yield Sizing

A corporate developer in the 25.168% tax bracket secures a Redevelopment Term Loan at a nominal floating interest rate of 12.00% p.a. What is the developer's effective post-tax borrowing yield under Section 36(1)(iii) of the Income Tax Act, 1961? A) 12.00% p.a. B) 9.85% p.a. C) 8.98% p.a. D) 7.50% p.a.

Correct Answer: C) 8.98% p.a. Detailed Rationale: Under Section 36(1)(iii), interest paid on business debt is tax-deductible. The post-tax borrowing yield is calculated as:

$$extPost−TaxYield=extNominalRateimes1−extTaxRate=12.00\%imes1−0.25168=12.00\%imes0.74832=8.98\%extp.a.$$

Question 8: Tripartite Agreement Step-In Rights

What is the primary statutory purpose of executing a Tripartite Agreement between the Housing Society, the Developer, and the Redevelopment Lender? A) To make the Housing Society co-borrower and jointly liable for loan principal repayment. B) To transfer the developer's corporate shares directly to society members. C) To legally establish the mortgage over Free Sale FSI, grant the lender step-in rights to replace a defaulting developer, and prevent the society from arbitrarily terminating the DA. D) To exempt the project from municipal property taxes and RERA registration.

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Correct Answer: C) To legally establish the mortgage over Free Sale FSI, grant the lender step-in rights to replace a defaulting developer, and prevent the society from arbitrarily terminating the DA. Detailed Rationale: The Tripartite Agreement secures the lender's interest by ensuring the Housing Society formally consents to the mortgage of Free Sale development rights, agrees to notify the lender prior to taking any adverse legal action against the developer, and grants the lender the right to appoint a replacement developer to complete the project upon loan default.

Question 9: Tandon Committee Second Method Current Ratio Guardrail

Under the Tandon Committee's Second Method of Lending, what is the minimum required Current Ratio that a corporate borrowing entity must maintain? A) 1.00:1 B) 1.20:1 C) 1.33:1 D) 2.00:1

Correct Answer: C) 1.33:1 Detailed Rationale: The Tandon Committee's Second Method of Lending requires the borrower to contribute a minimum of 25% of Total Current Assets from long-term net working capital / equity, establishing a strict statutory minimum Current Ratio requirement of **1.33:1** ($ ext{Current Assets} / ext{Current Liabilities} $).

Question 10: Income Tax Classification of Society Transit Rent

How is monthly Transit Rent paid by a developer to housing society members for temporary alternative accommodation classified under Indian Income Tax judicial precedents? A) Fully taxable speculative business income. B) Non-taxable capital receipt compensatory in nature. C) Taxable dividend income under Section 56(2)(x). D) Capital gains subject to 20% flat tax with indexation.

Correct Answer: B) Non-taxable capital receipt compensatory in nature. Detailed Rationale: Indian income tax tribunals and High Courts have consistently ruled that monthly transit rent paid to society members is a hardship compensation/capital receipt intended to cover actual alternative accommodation expenses incurred during demolition and reconstruction, and does not constitute taxable income under the Income Tax Act, 1961.

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